

26PSCV00780 26PSCV00780

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Case Number: 26PSCV00780 Hearing Date: September 22, 2026 Dept: 6

Plaintiff

Lucy Lu's Request for Entry of Default Judgment

Defendants: Robinson Reese, LP, IMAG Holdings, Inc., FDH Custom

Homes, CEJ Construction, Inc., FS Builders LLC

TENTATIVE RULING

Plaintiff's request for entry of

default judgment is GRANTED in the amount of \$319,208.00 as to Defendants IMAG Holdings, Inc. and FDH Custom

Homes. Plaintiff's request for entry of default judgment is DENIED with

prejudice as to Defendants Robinson Reese, LP, CEJ Construction, Inc., and FS

Builders LLC. The Court hereby enters judgment in favor of Defendants Robinson

Reese, LP, CEJ Construction, Inc., and FS Builders LLC, and Plaintiff takes

nothing by way of the Complaint against Defendants Robinson Reese, LP, CEJ

Construction, Inc., and FS Builders LLC. The Court directs Plaintiff to submit

a revised proposed judgment consistent with this tentative ruling for the

Court's review and signature.

BACKGROUND

This

is a breach of contract case arising from a settlement agreement concerning a

residential construction dispute. On March 5, 2026, plaintiff Lucy Lu

(Plaintiff) filed this action against defendants Robinson

Reese, LP (Robinson Reese), IMAG Holdings, Inc., FDH Custom Homes, CEJ

Construction, Inc., FS Builders LLC (collectively, Defendants), and Does 1 to

20, alleging causes of action for breach of contract, violation of Business

& Professions Code § 7108 (willful diversion of construction funds), and violation of Business & Professions Code § 7159.5(a)(3) (unlawful advance payment in home improvement contract).

On May 7, 2026,
default was entered against each of the Defendants.

On June 17, 2026,
Plaintiff requested entry of default judgment against Defendants.

LEGAL STANDARD

Code of
Civil Procedure section 585 permits entry of a default judgment after a party has failed to timely respond or appear. (Code Civ. Proc., § 585.) A party seeking judgment on the default by the court must file a Request for Court Judgment and: (1) a brief summary of the case; (2) declarations or other admissible evidence in support of the judgment requested; (3) interest computations as necessary; (4) a memorandum of costs and disbursements; (5) declaration of nonmilitary status; (6) a proposed form of judgment; (7) a dismissal of all parties against whom judgment is not sought or an application for separate judgment under Code of Civil Procedure section 579, supported by a showing of grounds for each judgment; (8) exhibits as necessary; and (9) a request for attorneys' fees if allowed by statute or by the agreement of the parties. (Cal. Rules of Court, rule 3.1800, subd. (a).)

ANALYSIS

Plaintiff
seeks default judgment against Defendants in the total amount of \$319,208.00, including \$258,188.00 in damages, \$60,125.00 in interest,[1] and \$895.00 in costs. The Court finds the Complaint deficient in certain respects. First, Defendants Robinson Reese, LP, CEJ Construction, Inc., and FS Builders LLC are not parties to the settlement agreement underlying this action. (Lu Decl., Ex. 1.) But, Plaintiff now seeks default judgment only against Robinson Reese, contending CEJ Construction, Inc. and FS Builders LLC are suspended and uncollectible. (See Suppl. Memo. (9/10/26), 1:27-2:1.)

Second,

Plaintiff has not adequately shown alter ego liability against Robinson Reese, notwithstanding Plaintiff's supplemental declaration and memorandum of points and authorities regarding alter ego liability. (See generally Suppl. Memo. (9/10/26).) The Court also notes that the supplemental declaration provided is from attorney Robert Young IV who makes many assertions about the underlying facts of the case and documents submitted but lacks personal knowledge to support them. (See generally Young IV Decl.) Declarations that do not comply with Code of Civil Procedure section 585, subdivision (d), are "useless as evidence." (Kim v. Westmoore Partners, Inc. (2011) 201 Cal.App.4th 267, 287-288 [submitted documents were not only unintelligible, but were also unsupported by any foundation suggesting how, when, or by whom they were created].) Moreover, "An allegation that a person owns all of the corporate stock and makes all of the management decisions is insufficient to cause the court to disregard the corporate entity. [Citation.]" (Leek v. Cooper (2011) 194 Cal.App.4th 399, 415.) While Plaintiff has now shown substantial evidence of a single controlling individual and a shared address amongst multiple entities, that is not necessarily enough. (See *ibid.*; generally Young IV Decl.) The bigger weakness is that Plaintiff's claimed inequitable result is an inability to collect on a judgment, which the law says is insufficient. "[I]t is not sufficient to merely show that a creditor will remain unsatisfied if the corporate veil is not pierced, and thus set up such an unhappy circumstance as proof of an 'inequitable result.'" (Associated Vendors, Inc. v. Oakland Meat Co. (1962) 210 Cal.App.2d 825, 842.) Also, the alleged commingling pertained to the original project company's operations, and not to any commingling between IMAG and Robinson Reese. (Young IV Decl., Ex. F.) Jon Robinson further stated that he structured the deal to avoid transferring any risk to his new partner uninvolved in the project. (Young IV Decl., Ex. D.)

Third, as

for successor liability under the mere continuation doctrine, there is insufficient evidence to support it. "The purchaser does not assume the seller's liabilities unless (1) there is an express or implied agreement of assumption, (2) the transaction amounts to a consolidation or merger of the two corporations, (3) the purchasing corporation is a mere continuation of the seller, or (4) the transfer of assets to the purchaser is for the fraudulent purpose of escaping liability for the seller's debts. [Citations.]" (*Id.* at p. 29.) "California decisions holding that a corporation acquiring the assets of another corporation is the latter's mere continuation and therefore liable for its debts have imposed such liability only upon a showing of one or

both of the following factual elements: (1) no adequate consideration was given for the predecessor corporation's assets and made available for meeting the claims of its unsecured creditors; (2) one or more persons were officers, directors, or stockholders of both corporations. [Citations.]” (Id. at p. 29.) Mere continuity of the enterprise is not sufficient by itself. (Ibid.)

The Court otherwise finds the default judgment request proper as to Defendants IMAG Holdings, Inc. and FDH Custom Homes.

CONCLUSION

Plaintiff's request for entry of default judgment is GRANTED in the amount of \$319,208.00 as to Defendants IMAG Holdings, Inc. and FDH Custom Homes. Plaintiff's request for entry of default judgment is DENIED with prejudice as to Defendants Robinson Reese, LP, CEJ Construction, Inc., and FS Builders LLC. The Court hereby enters judgment in favor of Defendants Robinson Reese, LP, CEJ Construction, Inc., and FS Builders LLC, and Plaintiff takes nothing by way of the Complaint against Defendants Robinson Reese, LP, CEJ Construction, Inc., and FS Builders LLC. The Court directs Plaintiff to submit a revised proposed judgment consistent with this tentative ruling for the Court's review and signature.

[1] Based on the supplemental declaration Plaintiff submitted on July 30, 2026.
(See Counts Decl. (7/30/26).)